(c) Treatment of incomes and expenses pertaining to specific funds

(i) Specific fund is to be shown on the liabilities side and specific fund investments account is to be shown on the assets side of the balance sheet.

(ii) Incomes and expenses relating to the specific fund account should not be recorded in income and expenditure account.

(iii) Incomes relating to the fund should be added to the fund account and expenses relating to the fund should be subtracted from the fund account in the balance sheet prepared as at the end of the year.

(iv) If interest is accrued on specific fund investments for the current year, then it should be added along with the fund account on the liabilities side and should also be shown on the assets side of the balance sheet as accrued interest on investments.

Illustration 15

How will the following appear in the final accounts of a club for the year 2017 –2018?

Particulars	₹
Prize fund on 1.4.2017	60,000
Prize fund investment on 1.4.2017	60,000
Interest received on prize fund investment	6,000
Prizes distributed	8,000
Donation received for prize fund	12,000

Solution

Balance sheet as on 31st March, 2018

Liabilities	₹	₹	Assets	₹	₹
Prize fund	60,000		Prize fund investment		60,000
Add: Interest received on prize fund investment	6,000				
Add: Donation for prize fund	12,000				
	78,000				
Less: Prizes distributed	8,000	70,000			

2.6 Balance Sheet

A Balance sheet is a statement showing the financial position of an organisation. The preparation of balance sheet of a not–for–profit organisation is more or less similar to that of a trading concern. Assets and liabilities, as on the last date of the accounting period are taken to the balance sheet (liabilities are taken on the left side and assets on the right side of the balance sheet).

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